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ECONOMIC SURVEYS

UNITED STATES

ORGANISATION FOR ECONOMIC
CO-OPERATION AND DEVELOPMENT

PARIS NOVEMBER 1964

BASIC STATISTICS OF THE UNITED STATES

THE LAND

Area, Continental United States, plus Hawaii and Alaska (thousand sq.km)	9,363
Population of major cities, including their metropolitan areas (1960):	
New York	10,695,000
Chicago	6,221,000
Los Angeles-Long Beach	6,039,000

THE PEOPLE

Population (end-1963)	190,809,000
Number of inhabitants per sq.km	20
Population, annual net natural increase (average 1959-63)	2,526,000
Net rate of annual increase per 1,000 inhabitants (average 1959-63)	14
Civilian labour force, 1963	73,975,000
Of which:	
Employed in agriculture	4,946,000
Net civilian immigration (annual average 1959-63)	347,000

PRODUCTION

Gross national product in 1963 (billions of US dollars)	583.9
GNP per head (US dollars)	3,083
Gross fixed capital formation:	
Per cent of GNP (average 1959-63)	16
Per head (US dollars, average 1959-63)	469
Origin of net national product in 1963:	
Agriculture, forestry and fishing	4 %
Manufacturing	29 %
Construction	5 %
Other	62 %

THE GOVERNMENT

Public consumption, 1963 (per cent of GNP)	21
Public construction activity, 1963 (per cent of GNP)	3
Current revenue of Federal, state and local governments, 1963 (per cent of GNP)	29
Federal Government debt as ratio of cash receipts from the public, 1964 (per cent)	271

Composition of the 88th Congress, 1963:

	House of Representatives	Senate
Democrats	255	67
Republicans	178	33
Vacant	2	
Total	435	100

LIVING STANDARDS

Food consumption, calories per head per day, 1961	3,100
Consumption of energy per head 1962 (kilograms of coal equivalent)	8.26
Average hourly gross earnings in manufacturing, 1963 (US dollars)	2.46
Number of passenger cars in use per 1,000 inhabitants, 1962	353
Number of telephones in use per 1,000 inhabitants, 1962	430

FOREIGN TRADE

Exports:	
Exports of goods and services as per cent of GNP (average 1959-63)	5.2
Main exports 1963 (per cent of total merchandise exports):	
Machinery	24
Grains and grain products	10
Chemicals	8
Automobiles and parts	6
Cotton	3
Imports:	
Imports of goods and services as per cent of GNP (average 1959-63)	4.6
Main imports 1963 (per cent of total merchandise imports):	
Petroleum and products	10
Coffee	6
Non-ferrous metals	5
Paper and paperboard	4
Automobiles and parts	4

ECONOMIC SURVEYS BY THE OECD

UNITED STATES

ORGANISATION FOR ECONOMIC CO-OPERATION AND DEVELOPMENT

The Organisation for Economic Co-operation and Development was set up under a Convention signed in Paris on 14th December 1960 by the Member countries of the Organisation for European Economic Co-operation and by Canada and the United States. This Convention provides that the OECD shall promote policies designed:

- *to achieve the highest sustainable economic growth and employment and a rising standard of living in Member countries, while maintaining financial stability, and thus to contribute to the development of the world economy;*
- *to contribute to sound economic expansion in Member as well as non-member countries in the process of economic development;*
- *to contribute to the expansion of world trade on a multilateral, non-discriminatory basis in accordance with international obligations.*

The legal personality possessed by the Organisation for European Economic co-operation continues in the OECD, which came into being on 30th September 1961.

The Members of OECD are: Austria, Belgium, Canada, Denmark, France, the Federal Republic of Germany, Greece, Iceland, Ireland, Italy, Japan, Luxembourg, the Netherlands, Norway, Portugal, Spain, Sweden, Switzerland, Turkey, the United Kingdom and the United States.

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ECONOMIC SURVEYS BY THE OECD

UNITED STATES

During 1964 the economy responded vigorously to the stimulus to demand provided by the tax cut. With output continuing to grow faster than capacity, inroads are now being made into the margin of unused resources of capital and labour that has persisted since the late 1950's. The present phase of expansion has now outlasted all previous post war upswings and has not yet begun to flag. At the same time, a substantial reduction has been made in the balance of payments deficit. The problems of an inadequate rate of growth and an excessive deficit on external account have shown themselves responsive to the vigorous use of a diversified range of policy instruments. With continued application of appropriate policy measures, the economy should continue to move closer to full employment and to balance-of-payments equilibrium.

Part I of the present survey reviews current domestic trends. Part II discusses the nature of the demand management policies being followed by the authorities. Part III is concerned with balance of payments trends and policies.

I. THE INTERNAL ECONOMY

The rise in activity which began in 1961 has now lasted for nearly four years, the longest period of increasing production since the war. As was to be expected, the fast rate of recovery during the early phase of the upswing was not maintained; the expansion slowed down in 1962 and 1963 (see Table 1). But the advance accelerated in the second half of last year, and has continued at a high rate in the first half of 1964, influenced notably by the faster growth in consumer spending following the tax cut effected in March.

Demand

The tax bill provided for a $ 9 billion cut in direct taxes paid by households of the 1963 level of income representing about 2 per cent of disposable personal income. The actual reduction in tax liabilities for 1964, with the cut effective in March of that year, is estimated at $ 6.6 billion. In calendar

TABLE 1. G.N.P. AND MAIN COMPONENTS
SEASONALLY ADJUSTED DATA, AT CONSTANT 1954 PRICES

	I 1961 TO IV 1961	IV 1961 TO IV 1962	IV 1962 TO IV 1963	IV 1963 TO III 1964	I 1961 TO IV 1961	IV 1961 TO IV 1962	IV 1962 TO IV 1963	IV 1963 TO III 1964
	Percentage change at annual rates				*Percentage share of growth of G.N.P.*			
G.N.P.	8.8	4.4	3.9	4.7	100	100	100	100
Private consumption	5.4	4.4	3.3	6.9	42	66	57	99
Business fixed investment	7.7	7.0	6.3	8.8	7	13	14	16
Residential non-farm construction	15.8	5.7	7.4	– 5.5	7	5	8	– 5
Inventories	—	—	—	—	29	—	5	– 19
Government purchases of goods and services	9.7	3.4	1.9	0.6	21	15	9	2

Source: Survey of Current Business.

year 1965, the reduction in liabilities is calculated to be approximately $ 10.9 billion, reflecting a combination of the second stage of the rate reduction, higher levels of income and a full year effect. As a result, the rise in consumers' expenditure has accelerated, to a seasonally adjusted annual rate of 11 per cent in the second quarter and one of 7.8 per cent in the third; with consumer prices rising by 1-1.5 per cent a year, the advance was somewhat smaller in real terms. In the first half of this year the rise in private consumption accounted for more than nine-tenths of the rise in GNP. Even so, consumers have not yet fully adjusted their expenditures to the changed level of their disposable incomes; the savings ratio rose from 7.0 per cent in the first quarter to 8.2 per cent in the second; in the third quarter the rate fell to 7.1 per cent, but this was partly because of an exceptional increase in expenditure on food, so the ratio may rise again in the fourth quarter. Subsequently, however, it would seem likely that the savings ratio will fall back to about 7 per cent, the long-term trend rate.

TABLE 2. DISPOSABLE INCOMES, CONSUMPTION AND SAVINGS
SEASONALLY ADJUSTED, ANNUAL RATES

$ billion.

	1963				1964		
	I	II	III	IV	I	II	III
Disposable personal income	395.1	399.1	404.4	411.2	419.5	430.2	435.6
Personal consumption expenditure	369.2	372.0	377.4	381.3	390.0	396.1	404.5
Personal saving	25.9	27.1	27.0	29.9	29.5	34.1	31.0
Personal saving as percentage of disposable income	6.6	6.8	6.7	7.3	7.0	8.2	7.1

Source: Survey of Current Business.

Residential construction rose strongly between 1961 and 1963. Housing starts, on a seasonally adjusted basis, were at a high level in the first quarter of 1964, but fell in the second and third quarters. The significance of this movement is not entirely clear, because it is difficult to eliminate the impact of seasonal factors in housebuilding. Housing starts also showed a decline in the spring and summer of 1963 and revived again later in the year. A similar development cannot be excluded in the present year, since mortgage credit is still plentiful and interest rates remain low. But any very considerable increase in residential construction in the near future would seem unlikely, given its high level in recent years.

Business expenditures on plant and equipment have risen steadily since 1961, but rather less fast than in some earlier periods of expansion. According to present estimates the end-1964 rate will be 38 per cent higher than the first quarter of 1961. By comparison, the rise after the 1954-1955 recession was 47 per cent for a period one-third shorter. Expenditures on plant and equipment, despite record levels, are currently still a lower share of GNP (6.8 per cent) than in 1957 (7.8 per cent).

Surveys carried out in February, May and August 1964 showed successive increases in business investment programmes; from 10 to 12 and finally 13 per cent at current prices compared with 1963. The latest upward revision was due essentially to higher projected outlays in the transportation sector; manufacturing industries did not raise their investment plans between the May and August surveys. The carry-over of manufacturing projects, in the sense of sums remaining to be spent on projects already underway, was notably higher at mid-1964 than a year earlier.

TABLE 3. CORPORATE PROFITS

ANNUAL RATES, SEASONALLY ADJUSTED

$ billion.

	1963				1964		
	I	II	III	IV	I	II	III
Corporate profits before tax	48.9	51.1	51.3	54.3	56.6	57.9	58.0
Less : Tax liability	23.4	24.5	24.5	26.0	25.4	26.0	26.0
Equals : Profits after tax	25.5	26.6	26.7	28.3	31.2	31.9	32.0
of which:							
Dividends	17.2	17.7	17.9	19.1	19.4	19.8	20.0
Undistributed profits	8.3	8.9	8.9	9.2	11.8	12.1	12.0

Source: Survey of Current Business.

A feature of the expansion since 1961 has been the steady and substantial rise in corporate profits; in earlier expansions profits have tended to come under pressure at an early stage. Business profits and cash flows have benefited from higher operating rates, stable unit labour costs, and continued effects of the tax credit and the more liberal depreciation

allowances introduced in 1962. In 1964, the March tax cut added $ 1 ½ billion to profits after taxes. A further cut representing about $ 1 billion in business liabilities will occur in 1965 when the second half of the 1965 tax reduction is implemented.

Inventory demand was an important factor in the early phase of the upswing in 1961, but has added little to aggregate demand since then. In the first half of 1964, inventory accumulation on a seasonally adjusted basis was at a lower level than in the second half of 1963. But the August survey of manufacturers' intentions pointed to some increase in inventory accumulation in the second half of the year.

Government purchases of goods and services have risen steadily throughout the current expansion, but the rate of advance has slowed down very substantially since mid-1964. The rather sharp rise in the first half of the present year was due to a temporary increase in defence expenditure. The federal budget, on a national account basis, for the fiscal year 1964-1965 foresees a level of expenditure $ 2 ½ billion higher than in the previous year. The administrative budget will show a slight decline.

Output and Employment

In the first half of 1964, the gross national product expanded at a seasonally adjusted annual rate of 6.6 per cent (4.6 per cent in real terms). Industrial production has increased steadily over the last twelve months, and in September was 6.5 per cent higher than a year earlier.

With output expanding faster than productive capacity, the margin of unused resources has declined over the last year. But the decline has been moderate and both the number of unemployed and the amount of

TABLE 4. EMPLOYMENT AND UNEMPLOYMENT
SEASONALLY ADJUSTED

	I 1961 TO IV 1961	IV 1961 TO IV 1962	IV 1962 TO IV 1963	IV 1963 TO III 1964
	Change in period			
Employed *(thousands)*	255	1,173	1,153	1,306
Unemployed *(thousands)*	– 408	– 428	136	– 393
	1961	1962	1963	1964[1]
	Annual average			
Unemployed as percentage of labour force	6.7	5.6	5.7	5.3

1. First ten months, seasonally adjusted.
Source: Survey of Current Business.

unused industrial capacity remain fairly high. The average capacity utilisation rate in manufacturing industries has risen over the past year, but rather slowly, and is currently at about 88 per cent, compared with a rate preferred by industry which is generally taken to be 92 per cent. But there is evidence that such increase as has taken place in capacity utilisation rates has had an effect on investment. Business investment plans suggest that the share of capital expenditure designed to increase capacity, in contrast to the renewal or improvement of existing equipment, is rising.

The seasonally adjusted unemployment rate fell from 5.5 per cent in the summer of 1963 to about 5 per cent in the summer of 1964; the rate fell to 4.9 per cent in July, but rose again to 5.1 per cent in August and 5.2 per cent in September. There is therefore still some way to go before the authorities' interim target of 4 per cent has been reached. In addition to a policy aimed at expanding aggregate demand, the authorities are working to improve training and re-training facilities for the unemployed since the hard core of the unemployment problem may become less susceptible to a treatment of general demand expansion as the overall unemployment rate is being reduced. Unemployment is particularly high among young people and coloured workers.

Prices and Costs

Although the strong expansion over the last year has led to a fuller use of productive capacity and lower unemployment, there is little evidence to date that much upward pressure has developed on costs and prices. Prices continue to be remarkably stable. The implicit GNP price deflator has risen by only about 1 ½ per cent a year since the late 1950's. Consumer prices were little changed during the first seven months of 1964 if food items are excluded. Including the latter, the cost-of-living index rose by two-thirds of a percentage point during the same period. Wholesale prices in August 1964 were at the same level as at the end of 1963, but rose 0.4 per cent in September. Hourly earnings in manufacturing have risen by about 3.5 per cent over the last twelve months, but output per man hour has risen rather faster, so that there has been some decline in unit labour costs. It is too early to judge to what extent the new contracts negotiated in the automobile industry in the autumn of 1964 will have an impact upon wage bargaining elsewhere. It is estimated that the automobile wage contract will raise total labour costs by 4.4 per cent per annum. The automobile industry is a sector where productivity is rising more rapidly than the national average and is also one where the increase in profits recently has been very marked; but the rise exceeds the Administration's " guide-post " for wages of 3.2 per cent, a figure representing the trend-rate of productivity increase in the economy as a whole. And it is difficult to consider the automobile industry as one of the sectors in which, according to desiderata outlined in the 1962 Report of the Council of Economic

Advisers, wage rate increases might justifiably exceed the general guide rate. (Industries needing to attract labour, or in which wage rates are exceptionally low.)

Prospects for 1965

With the personal savings rate likely to decline gradually to the pre-tax cut rate of about 7 per cent, the tax cut already effected will continue to provide stimulus to consumer demand in 1965. Moreover, according to the tax bill already enacted, a further cut in personal income taxes will take place in 1965. In these conditions, private consumption should continue to rise rather strongly well into 1965, although the increase may slow as the influence of the tax cut wears off. Residential construction is unlikely to rise much. But given the strong upward trend in aggregate demand, and the significant increase in business profits and funds available for financing investment, it would seem reasonable to expect continued strength in business investment. Government purchases of goods and services should continue to rise; federal expenditure is rising only slowly but expenditures at State and local levels are increasing quite substantially. The real gross national product should thus continue to rise well into 1965 at around the present rate of 5 ½ per cent a year but, subsequently, the need for some further fiscal stimulus to demand in order to maintain the rate of growth cannot be excluded.

TABLE 5. PRICES
1957-59 = 100

	1961	1962	1963	1964		
				I	II	III
I. *Consumer prices:*						
All items	104.2	105.4	106.7	107.7[1]	107.9	108.3
All items less food	104.8	106.1	107.4	108.5	108.7	108.9
II. *Wholesale prices:*						
All commodities	100.3	100.6	100.3	100.6	100.1	100.5
By stage of processing:						
Crude materials for processing	96.1	97.1	95.0	94.5	93.4	94.5
Intermediate materials, supplies, etc.	100.3	100.2	100.5	101.1	100.6	100.5
Finished goods	101.4	101.7	101.4	101.7	101.4	102.0

1. New Series beginning January, 1964.
Source: Survey of Current Business.

II. DEMAND MANAGEMENT

The prolonged nature of the current expansion can be ascribed to a number of factors. Private business has increased its investment vigorously, but in a more orderly and sustainable manner than in some previous expansions. Business and trade unions have generally behaved reasonably in price and wage policies, in part because the continued slack in the economy has been conducive to moderation. But there can be little doubt that the better performance has been strongly influenced by fiscal and monetary policies.

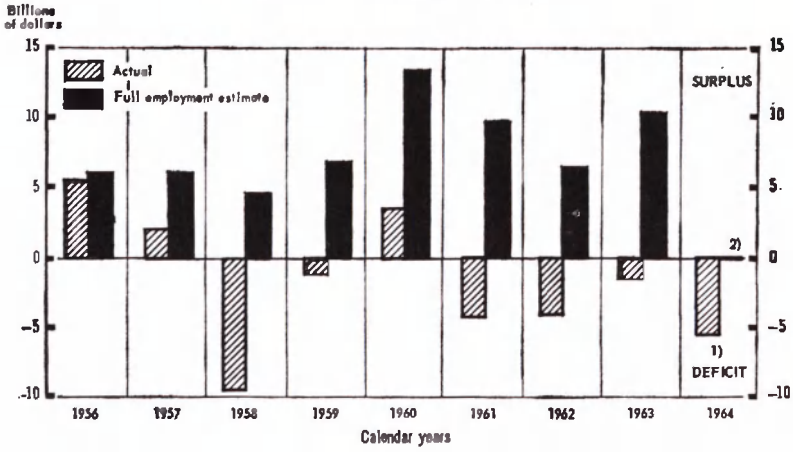
Fiscal Policy

Fiscal policy has been better adapted to promoting expansion than in earlier years. During the upswing that followed the 1957-1958 recession, for example, federal expenditures levelled off and then turned down whilst the budget deficit (national income accounts basis) declined sharply from nearly $ 10 billion in calendar year 1958 to around $ 1 billion in 1959. The restrictive nature of budgetary policy so early after the recession must have contributed to the weak recovery and to the fact that the unemployment rate did not fall below 5 per cent before the onset of the 1960-1961 recession. In 1959-1960, budgetary policy was strongly influenced by fears of renewed inflation, despite the considerable margin of unused resources. Another important preoccupation of the United States authorities at the time was to balance the budget.

During the current expansion, the authorities have adopted a very different approach to budgetary policy. This has led them to accept a temporary increase in the deficit as a corollary of tax reduction so long as the strength of demand in the private sector was judged insufficient to carry the economy up towards the goal of full employment (at present defined as a 4 per cent unemployment rate). Policy with regard to the budget balance has been adapted to this end. The federal budget surplus of $ 3.5 billion, on a national accounts basis, in the calendar year 1960, changed to a deficit of $ 4.3 billion in 1961; this was partly due to the effect of the built-in stabilisers in a period of declining activity, but also reflected a change in policy.

Rising expenditure, particularly for defence, without a corresponding increase in taxes resulted in an increased stimulus to demand in 1961. This policy was continued in 1962 when, in addition, a first step in implementing a programme of tax cuts was taken with the introduction of an investment tax credit and more favourable depreciation rules for private business investments. Other revenues, however, increased strongly as the economy expanded, and the deficit in 1962 ($ 4 billion) remained at about the same level as in 1961. In 1963, the President of the United States

Diagram 1. FEDERAL BUDGET



1. Estimated.
2. Nil.

Source: Council of Economic Advisers.

requested congressional approval of a major programme of reductions in direct taxation; meanwhile federal expenditure continued to rise, although at a slower pace. In the event, the vigorous expansion of the economy during 1963 resulted in a reduced deficit of $ 1.5 billion.

In 1964, the federal budget provided a major expansionary stimulus to the economy, by means of tax reduction rather than expenditure increase. The budget projected no further rise in over-all federal outlays for fiscal year 1965, as planned spending for new civilian programmes was offset by prospective economies in outlays for national defence and agriculture. The tax bill approved by Congress early in 1964 contained reductions of $ 11 ½ billion in direct taxes. As a result the budget deficit increased and is likely to reach $ 5 ½ billion in calendar year 1964 (on a national accounts basis).

A major objective of fiscal policy over the year ahead must be to ensure continued strong expansion, with a further decline in the margin of unused resources. To achieve this objective the need for some further stimulus to overall demand must be kept under review. During much of the post-war period, the federal budget has served as a brake on the expansion of demand because of its tendency to move into surplus at an early stage of an upturn in activity; with progressive tax rates, revenues have risen more rapidly after a recession than it was judged desirable to increase expenditure. The 1964 tax cut has corrected this situation for the time being as it is estimated that, at full employment and with an unchanged level of expenditure, the federal budget for 1964-1965 would be in approximate balance. But the rise in tax revenues as the economy expands at full

employment is estimated at some $ 6 billion a year, including the increase of $ 1 ½ billion a year from growing receipts under the social security system as benefits rise less fast than contributions.

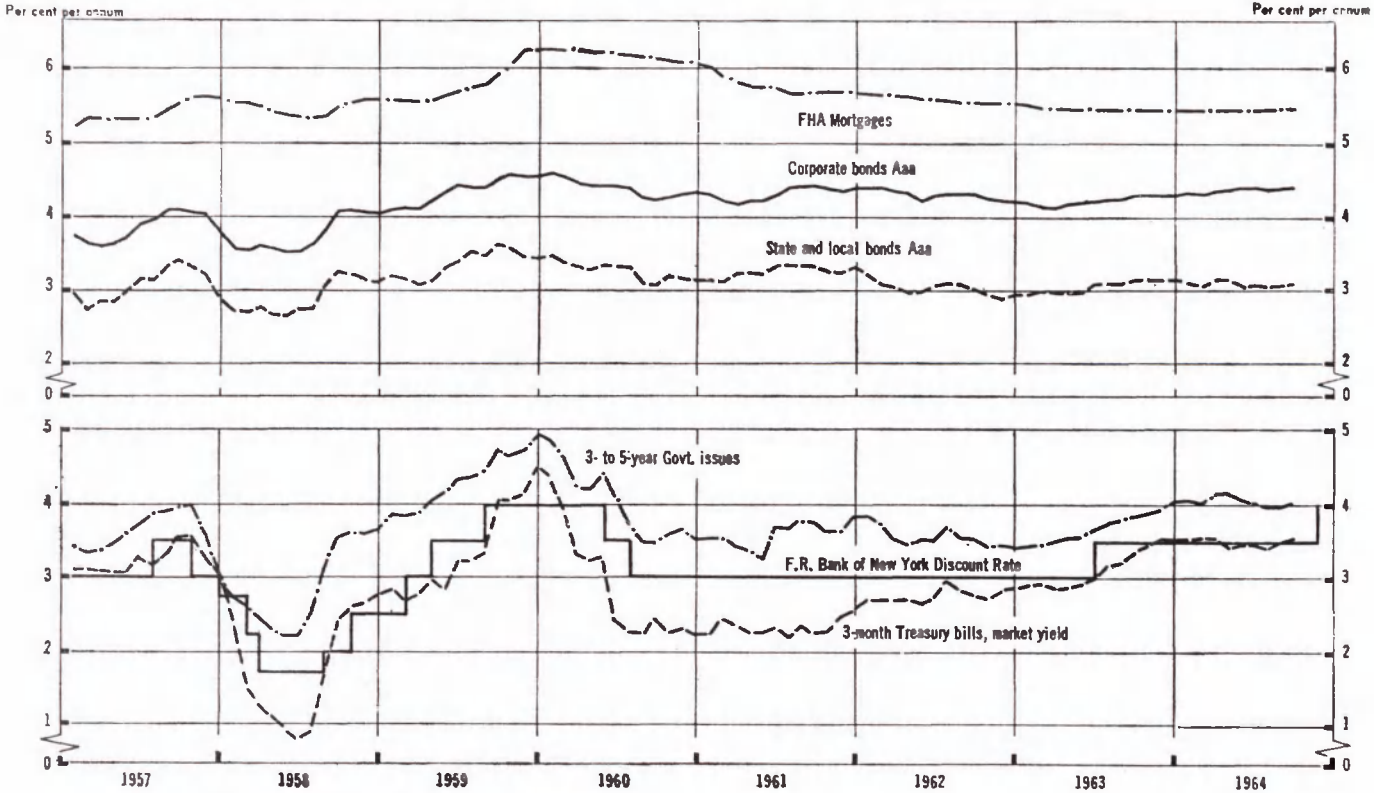
It is not too soon to consider ways and means of ensuring, once full employment has been reached, that fiscal policy is a sufficiently flexible instrument to keep the economy on an even keel. Experience since 1961 has shown how effective fiscal and budgetary policy can be in helping to expand demand, but it has also thrown up a number of problems that remain to be solved if fiscal policy is to become a more flexible instrument for demand management. A flexible fiscal policy will call for more speed in implementing changes in taxation than are provided at present by American budgetary procedures. On the expenditure side, a wider margin of manœuvre for making short-term changes would be an advantage. It would appear desirable to profit from the continued strength of the economy to prepare measures for dealing rapidly and effectively with any future weakening in demand. The likelihood that there will be less room in future than in the past for a vigorous use of monetary policy as an instrument for demand management reinforces the need for a more flexible fiscal policy. This question is at present under consideration by the United States authorities.

Monetary Policy

Monetary policy since 1961 has also differed from that followed after most post-war recessions. Monetary ease, a high level of consumer saving, and relatively stable long-term interest rates have been maintained now for nearly four years of continued expansion. In the autumn of 1964, most long-term interest rates had not changed significantly from their levels during the 1960-1961 recession. The rates on the market for home mortgages have been stable after an earlier decline and this has been of considerable consequence for housebuilding. Borrowing by State and local units of government has also been facilitated by the maintenance of stable long-term interest rates. This situation was in marked contrast to experience during the recovery from the 1957-1958 recession when long-term rates rose steeply in 1959 (see graph).

Low interest rates in the United States compared with those prevailing in major European countries were contributing in the early 1960's to increased outflows of United States capital. The policy of the United States authorities has been to counteract this tendency by bringing pressure to bear upon short-term rates whilst keeping costs and availability of long-term credit favourable to expansion. Debt management policy has been used to this end. The federal government's cash needs have been financed mainly in the short end of the market by the issue of Treasury bills. Moreover, in July 1963 the discount rates at Federal Reserve Banks were raised from 3 to 3.5 per cent and commercial banks were authorised to raise their

Diagram 2. INTEREST RATE TRENDS



Source: Federal Reserve Bulletin, "Business Cycle Developments."

TABLE 6. MONEY AND CREDIT

	1963				1964		
	1st QTR.	2nd QTR.	3rd QTR.	4th QTR.	1st QTR.	2nd QTR.	3rd QTR.
	$ billion, end period, seasonally adjusted						
Money supply: Total	148.9	150.2	151.6	153.2	154.2	155.6	158.0
of which: Currency outside banks	31.1	31.5	31.9	32.4	32.9	33.4	33.8
Demand deposits	117.8	118.6	119.7	120.7	121.3	122.1	124.2
Time deposits[1]	101.9	104.6	108.1	112.3	115.7	118.5	121.7
Commercial bank loans and investments:							
Loans	137.3	141.7	145.4	149.4	153.9	160.0	163.0
U.S. Government and other securities	96.2	96.7	96.1	97.1	97.5	96.3	98.7
	$ million						
Free reserves of member banks of the Federal Reserve System[2]	269	138	91	209	98	118	90
	Per cent, end of period						
Loan to deposit ratio (commercial banks)	58.4	57.9	59.7	60.2	60.9	61.1	61.5
	Per cent						
3-month Treasury bills[3]	2.897	2.995	3.379	3.523	3.553	3.478	3.533
Corporate bonds (Moody's) Aaa[3]	4.19	4.23	4.31	4.35	4.38	4.41	4.42
High-grade municipal bonds (Standard and Poor's[3]	3.11	3.27	3.27	3.41	3.32	3.20	3.24

1. Time deposits at all commercial banks other than those due to domestic commercial banks and the U.S. Government.
2. Average of daily figures for last month in quarter.
3. Average for last month in quarter.

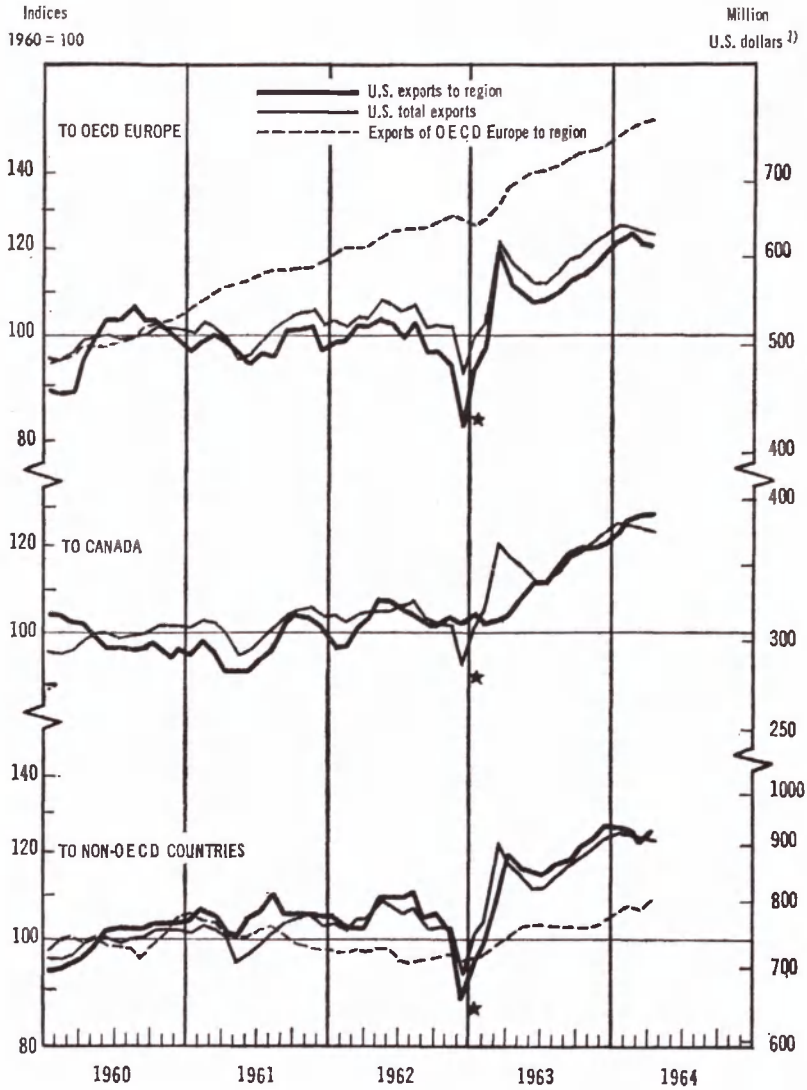
Source: Federal Reserve Bulletin.

interest payments on time deposits. On 23rd November 1964, the Bank rate in the United Kingdom was increased from 5 to 7 per cent. The U.S. authorities promptly acted to increase the Federal Reserve discount rate to 4 per cent, and the maximum rate commercial banks could pay on time deposits to 4 ½ per cent.

The fact that credit has remained easily available has been no less important than favourable interest rates in stimulating growth of the economy. Loans and investments of commercial banks have risen about 8 per cent annually since about 1961. The free reserves of the banks, which had been kept fairly steady at $ 400-$ 500 million throughout 1961 and 1962, were reduced to about $ 100 million in 1963; over recent months, the level has shaded slightly lower. In the meantime, the liquidity position of banks and businesses has gradually declined. While banks are not yet under strong pressures, bank liquidity as measured both by loan-deposit ratios and holdings of liquid assets, has been appreciably reduced. Despite a large cash flow, business liquidity has also been somewhat reduced, a fact reflected

Diagram 3. U.S. EXPORT PERFORMANCE BY REGION

SEASONALLY ADJUSTED THREE MONTHLY MOVING AVERAGES



1. Right-hand scale refers only to the bold solid curve.
2. The figures shown on this graph have not yet been revised to exclude Japan from non-OECD countries.

* Longshoremen's strike.

Source: OECD Secretariat.

in a substantially larger rise in loans to business this year than at the same stage in earlier years.

The money supply, narrowly defined as the total of cash and demand deposits, has risen notably slower since 1961 than GNP in current prices. If time deposits are taken into account as well, the combined growth of " money " and " near-money " has been rather more rapid than the expansion of GNP. This increase in liquidity, however, has been concentrated in the consumer sector, and reflects in good part the increased popularity of time deposits relative to other investment outlets as a result of the more attractive interest rates banks have been authorised to pay on them; a result has been pressure upon the banks to seek more remunerative outlets for their funds, for example mortgage business and consumer credit.

Over the year ahead, the task of monetary policy will continue to be to support the expansion of domestic activity whilst, at the same time, counteracting the tendency for capital to flow out of the United States. The action taken in November 1964 to raise interest rates corresponded to this objective.

III. BALANCE OF PAYMENTS

Table 7 shows the trend and the structure of the balance-of-payments. The main feature is that the balance of goods and services has shown a large and growing surplus, but that this surplus has been insufficient to cover the deficit on other transactions, notably government expenditure abroad and the out-flow of private United States capital. The deficit on regular transactions[1] reached a peak of almost $ 4 billion in 1960 and has since shown a downward trend, but the movement has been irregular. Following a decline in 1961 and the first half of 1962, the deficit rose sharply in the second half, and reached an annual rate of almost $ 5 billion in the first half of 1963. Since then the deficit has been much smaller.

An important feature of the situation has been that, since 1958, the external deficit has been associated with deficient rather than excess demand conditions internally. The policies of the United States Administration are therefore aimed at restoring external equilibrium at the same time as a more satisfactory level of activity is being achieved internally.

There is a notable degree of interdependence between the different items which make up the overall balance on regular transactions. Thus, for example, a not insignificant share of exports of goods and services is financed by government aid and loans of various kinds; and private capital

1. Excluding special government transactions (non-scheduled debt repayments, advances on military exports, special sales of special United States government securities), but including short-term official and banking liabilities and foreign holdings of marketable United States government bonds and notes.

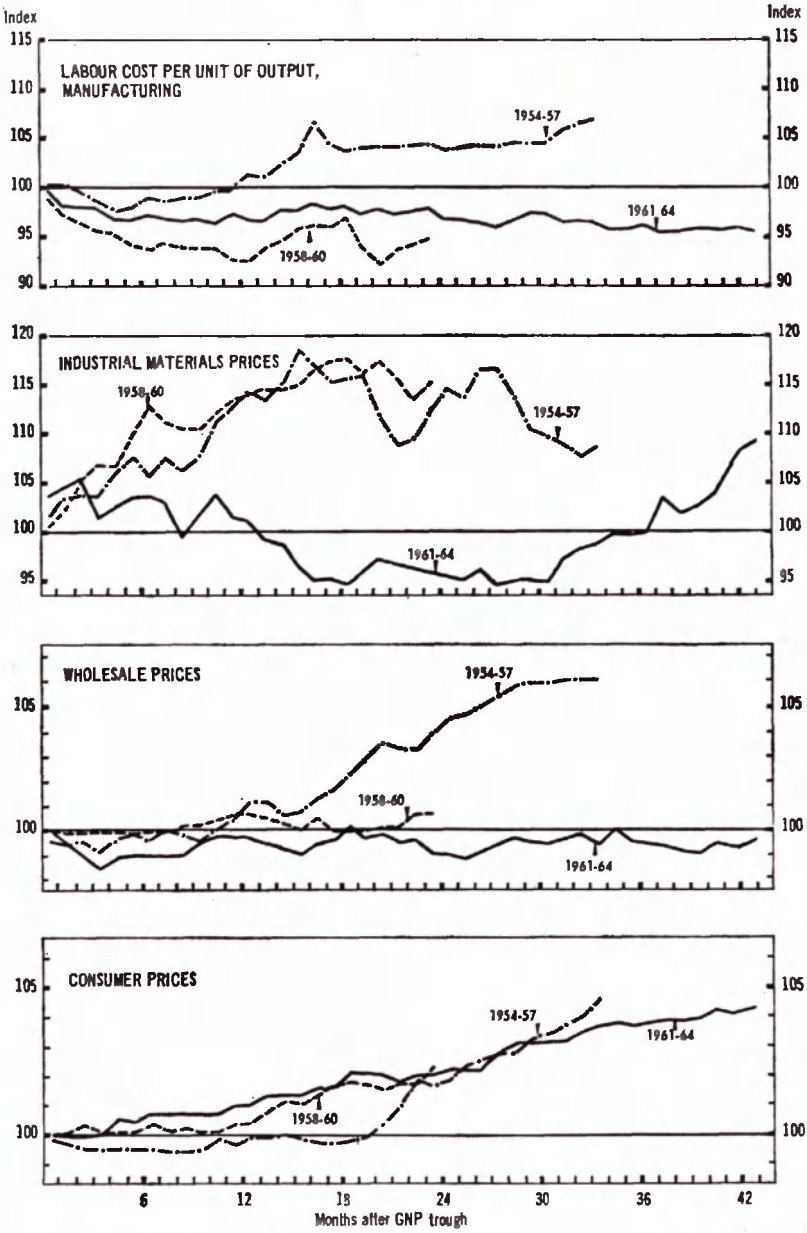
TABLE 7. UNITED STATES BALANCE OF PAYMENTS

Millions of dollars, half-years seasonally adjusted at annual rates.

	AVERAGE 1953-57	1958	1959	1960	1961	1962		1963		1964
						1st HALF	2nd HALF	1st HALF	2nd HALF	1st HALF
Merchandise exports	15,226	16,264	16,282	19,459	19,913	20,538	20,614	20,924	23,054	24,308
Merchandise imports	11,793	12,952	15,310	14,723	14,497	16,012	16,256	16,498	17,494	17,884
Military expenditures less sales	− 2,643	− 3,135	− 2,805	− 2,713	− 2,552	− 2,408	− 2,368	− 2,182	− 2,294	− 2,192
Income on investment, net	1,897	2,176	2,215	2,321	2,962	3,160	3,492	3,396	3,150	4,090
Other services, net	97	− 147	− 248	− 493	− 240	− 324	− 310	− 332	− 354	− 240
Goods and services, net	2,784	2,206	134	3,851	5,586	4,954	5,172	5,308	6,062	8,082
(Excluding exports of goods, services financed by Govt. grants and capital outflows)	n.a.	n.a.	n.a.	1,612	2,899	2,086	2,224	1,806	2,888	4,812
Remittances and pensions	− 637	− 722	− 791	− 672	− 705	− 752	− 724	− 836	− 816	− 810
Govt. grants and capital outflows, less changes in associated liabilities, less scheduled loan repayments	− 2,148	− 2,587	− 2,421	− 2,781	− 3,396	− 3,508	− 3,586	− 4,138	− 3,432	− 3,416
U.S. private capital, net:										
Direct investments	− 1,324	− 1,181	− 1,372	− 1,674	− 1,599	− 1,412	− 1,896	− 2,190	− 1,586	− 2,060
Long-term portfolio	− 368	− 1,444	− 926	− 863	− 1,025	− 1,386	− 1,068	− 2,288	− 1,082	− 976
Short-term, net	− 290	− 311	− 77	− 1,348	− 1,556	− 594	− 512	− 1,052	− 416	− 2,462
Foreign private capital other than liquid funds	390	22	863	341	622	364	− 40	486	136	258
Miscellaneous Government non-liquid liabilities	—	—	—	1	—	8	—	2	—	8
Errors and unrecorded transactions	543	488	412	− 772	− 998	− 442	− 1,780	− 258	− 420	− 446
Balance on regular transactions	− 1,052	− 3,529	− 4,178	− 3,918	− 3,071	− 2,776	− 4,434	− 4,968	− 1,554	− 1,830

Source: Survey of Current Business.

Diagram 4. COST AND PRICE TRENDS
DURING THE LAST THREE PERIODS OF ECONOMIC EXPANSION
INDICES, GNP TROUGHS = 100



Sources: Department of Commerce "Business Cycle Developments", "Survey of Current Business".

outflows can be instrumental in facilitating merchandise exports which would not otherwise have taken place. These qualifications should be borne in mind when, as in the following paragraphs, recent trends in the main components of the balance-of-payments are considered in isolation. An apparent improvement in one item would not necessarily result in an equivalent change in the whole balance.

The sharp decline in the deficit on regular transactions after mid-1963 can largely be ascribed to an improvement of the balance of goods and services. In the second half of 1963, following the measures taken or proposed by the authorities, notably the Interest Equalisation Tax, the outflow of United States capital fell sharply. In the first half of 1964, however, the capital outflow had regained the high level of a year earlier, but the composition had changed substantially to a much lower outflow into foreign securities and a higher outflow of short-term capital, notably bank loans.

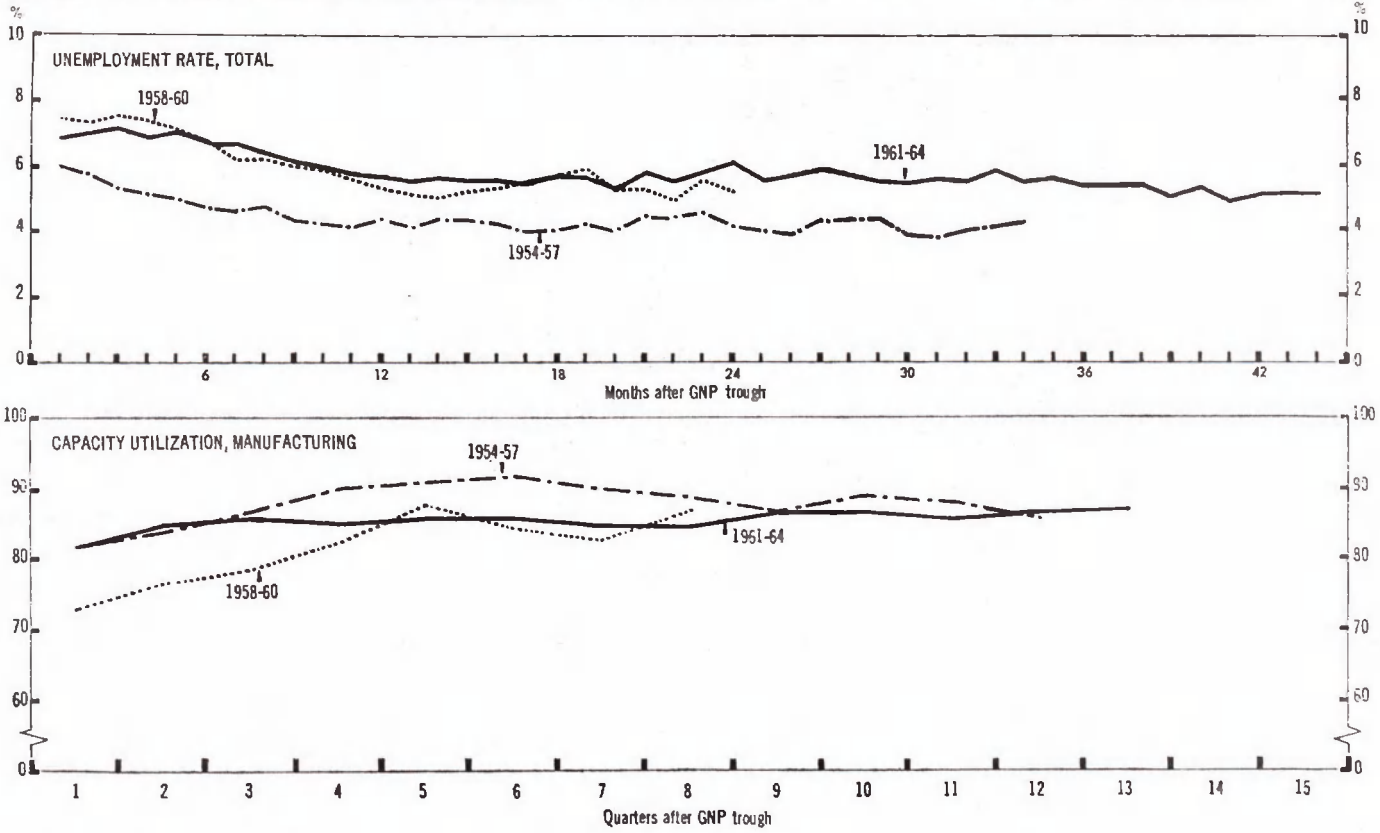
Goods and Services

The rise of $ 2.8 billion in the surplus on goods and services, at a seasonally adjusted annual rate, between the first halves of 1963 and 1964 was the result of an increase of $ 3 billion in commercial exports and of a small decline in government-aided exports. The major contribution to the increase in the surplus came from higher merchandise exports which, excluding those financed by government grants and capital, rose by $ 3.5 billion at an annual rate. Part of the increase in exports has been due to an exceptionally high level of agricultural sales following poor cereal crops in Europe. Exports of agricultural products at an annual rate were $ 1 billion higher in the first half of 1964 than a year earlier. The high rate of exports in this category has since fallen off, but total exports have remained at their earlier peak.

Imports have increased since 1961 about in line with the increase in GNP. This is in contrast to the 1959 expansion when there was a rather sharp rise in the ratio of imports to GNP to over 3 per cent, with a subsequent fall-back. This difference is no doubt the result of the increased competitiveness of the U.S. economy and of the more orderly, and more sustained, rise in GNP which has already been noted. A contributory factor has been the more careful inventory policies followed by business since 1961.

Net income from overseas investments has been on a rising trend in recent years and, with the increase in direct investment abroad since the late 1950's and improved profit levels in basic resource sectors overseas, a continuation of this trend may be expected. The contribution of investment income to the United States balance-of-payments is already substantial, some $ 4 billion at a seasonally adjusted annual rate during the first half of 1964, an increase of $ 0.7 billion over the corresponding period in 1963.

Diagram 5. UNUSED PRODUCTIVE RESOURCES DURING THE LAST THREE PERIODS OF ECONOMIC EXPANSION



Source: Department of Commerce "Business Cycle Developments", Council of Economic Advisers.

This sharp increase was influenced by some postponement of the transfer of dividends from 1963 to 1964 in anticipation of the enactment of the tax cut. The decline in net payments on other services in the first half of 1964 may be temporary, since the underlying trend has been towards an increase.

Government Expenditures

A reduction of $ 1 billion in the rate of government expenditures overseas to be achieved by January 1965, compared with 1962, was put forward as an objective in the President's Special Message on the Balance of Payments issued in July 1963. The Message listed a number of measures to be put into effect by the end of 1964 which would reduce overseas defence expenditure by $ 300 million, acquisition of strategic materials abroad by $ 200 million, and aid expenditures entering the balance-of-payments by $ 500 million. In the United States fiscal year ending June 1964, these expenditures had been reduced by more than $ 500 million below the 1962 level. Net military expenditures in United States fiscal year 1964 were $ 2.2 billion, about $ 200 million below the 1962 level. These expenditures will be further reduced by measures recently instituted but not yet fully effective.

The process of tying economic aid and loans granted to foreign countries to purchases in the United States has been carried further. Government grants and capital in the form of dollar payments abroad were $ 725 million in fiscal year 1964, about $ 350 million below the 1962 level.

TABLE 8. SELECTED GOVERNMENT ITEMS IN THE BALANCE-OF-PAYMENTS

$ million, annual rates.

	1962	1963		1964
		1st HALF	2nd HALF	1st HALF
I. *Defence*[1]:				
Expenditures	3,044	2,956	2,838	2,896
Military sales	656	774	544	704
Advances on military exports[2]	470	30	638	150
II. *Capital and Grants*	4,293	4,792	4,252	4,106
III. *Repayments of loans*				
Scheduled	599	594	692	638
Non-scheduled[2]	681	118	534	170

1. Excluding military grant aid.
2. Not seasonally adjusted.

Source: Survey of Current Business.

Over 80 per cent of aid commitments are now in the form of United States goods and services. The link between the volume of aid and exports from the United States is therefore now very close and it will probably not be easy further to raise the percentage of tied aid. Conversely, cuts in aid appropriations are unlikely to yield more than marginal savings in the net dollar cost to the balance-of-payments, since exports would fall pari passu.

Private Capital

During the first half of 1963 the total net outflow of United States private capital reached the record level of $ 5.5 billion, at a seasonally adjusted annual rate, an increase of $ 2.1 billion compared with the previous six months. During the second half of 1963, it declined to $ 3.1 billion at a seasonally adjusted annual rate, but rose again to $ 5.5 billion during the first half of 1964.

Direct investments rose in 1963 (to $ 1.9 billion from $ 1.7 billion in 1962) and reached over $ 2 billion at a seasonally adjusted annual rate during the first six months of 1964. Despite improved prospects for profits in the United States, with continued expansion of output and tax concessions, the attractiveness of investment abroad thus still appears for the time being to be considerable. However, there may be a time lag in the impact on the balance of payments of the improved competitive position and profit prospects in the United States. It is likely that returns on direct investments in Europe still compare favourably with those available in the United States. Tighter monetary conditions abroad have probably incited some firms in Europe to accept a financial collaboration with United States firms. An important element in recent direct investments abroad by United States firms has been purchases of existing firms, notably in Europe.

The outflow of long-term portfolio capital rose substantially in the first half of 1963, to $ 2.3 billion (at a seasonally adjusted annual rate) compared with $ 1.1 billion during the previous six months. It was this sharp increase and fears that, if unchecked, it would continue, that determined the United States authorities to take action through the Interest Equalisation Tax so as to dampen exports of portfolio capital. Proposed in July 1963, the IET was promulgated in September, 1964; it is to expire at the end of 1965 unless provision is made to prolong it for a further period. The effect of the tax is to add 1 per cent to the annual cost of long-term borrowing by foreigners in the United States assuming, as appears likely, that the whole of the tax is borne by the borrower. New issues by Canadian borrowers are exempt from the tax as well as those of the developing countries and the IBRD. In the case of Canada, an understanding was reached by the respective governments of the two countries in which the Canadian authorities stated that it was not their desire or

intention to increase their reserves through the proceeds of borrowings in the United States.

During the first year after the IET was proposed, subscriptions to new foreign securities sold in the United States fell to $ 660 million, or about $ 440 million below even the first half total of 1963. The decline was partly due to smaller borrowing by Canada, which had borrowed heavily in the first half of 1963 but which is exempt from the IET. Sell-offs by United States residents of outstanding foreign securities totalled some $ 250 million during the year from mid-1963 to mid-1964, thus reversing the previous purchases of $ 150 million during the first half of 1963. (Table 9.)

TABLE 9. UNITED STATES PRIVATE LONG-TERM PORTFOLIO CAPITAL OUTFLOW

$ million.

	1962	1963		1964
		1st HALF	2nd HALF	1st HALF
New foreign issues	1,080	1,000	250	410
of which: by countries and institutions exempt from the I.E.T.	720	700	170	410
Redemptions	200	90	100	90
Transactions in outstanding issues	100	150	*100*[1]	*150*[1]

1. Inflow.
N.B. Data rounded to nearest $ 10 million.
Source: Survey of Current Business.

The outflow of short-term United States private capital rose sharply to a record level of $ 2.5 billion, at a seasonally adjusted annual rate, during the first half of 1964. The components of this item in the balance-of-payments are rather heterogeneous and include commercial credits, changes in foreign currency banking deposits and claims, and movements of funds reported by non-financial concerns. Clearly, the motives for changes in each of these items vary and are not necessarily attributable to similar causes. Preliminary information for the third quarter indicates a large decline.

Net movements abroad of short-term funds reported by United States banks exceeded $ 2 billion in the first half of 1964 (at a seasonally adjusted annual rate) and constituted the core of the short-term capital element in the United States balance-of-payments. To some extent this outflow takes the form of commercial credits associated either directly or indirectly with increased United States exports. It is also to be noted that during this period, as in several earlier years, a very substantial portion

TABLE 10. UNITED STATES SHORT-TERM PRIVATE CAPITAL OUTFLOW

$ million, seasonally adjusted annual rates.

	1963				1964	
	1st QTR.	2nd QTR.	3rd QTR.	4th QTR.	1st QTR.	2nd QTR.
	(+ = *inflow*)					
Total	144	− 2,248	16	− 848	− 2,440	− 2,484
of which:						
— Reported by U.S. banks	248	− 1,968	− 164	− 1,084	− 1,716	− 2,508
— Reported by non-financial concerns	− 104	− 280	180	236	− 724	24

Source: Survey of Current Business.

of U.S. short-term and banking outflows (amounting in fiscal year 1964 to well over 40 per cent of the total) was accounted for by Japan. These movements with Japan reflect a rather special situation where changes in the flows appear to reflect primarily a combination of shifts in over-all Japanese willingness to incur foreign debt, on the one hand, and the rough exposure limits acceptable to U.S. lenders, on the other. Moreover, in the case of Japan, it would appear that a substantial portion of short- or long-term bank credit probably serves, indirectly, to finance U.S. exports. The outflow of banking funds to Japan and Latin America fell off somewhat in the first half of 1964, but it is not clear whether this constitutes a new trend. A good deal of the recent outflow went to Europe.

Capital flows reported by non-financial concerns have been much smaller and much more irregular than those reported by the banks, with the direction of the net flow changing rather frequently. Credit conditions in the United States and abroad are important determinants of the size and the direction of this flow. It is thought likely that credit stringency in Europe combined with easy credit availability in the United States have led to some lending from United States parent companies to subsidiaries abroad. A major reason for the rather high outflow in the first quarter of 1964 may have been to build up foreign balances in order to make direct investments at a later date. The action of the U.S. authorities in November 1964 in raising the discount rate of the Federal Reserve System and the maximum rate payable on time deposits was designed to maintain money rates in the United States at appropriate levels relative to those abroad and thus avert an outflow of interest-sensitive liquid funds in response to a number of increases in foreign official rates that had culminated in the increase in Bank rate in the United Kingdom.

Financing the Deficit

Special government transactions continue to finance between 40 and 50 per cent of the deficit on regular transactions, though the relative contributions of the various components of this item of the balance-of-payments vary from quarter to quarter. (Table 11.) Another feature of the financing of the deficit in 1963 and during the first half of 1964 was the large rise in liquid dollar liabilities held by private foreigners.

Net changes in the IMF position of the United States have continued to absorb a significant part of the deficit. The United States authorities have arranged two stand-by credits with the IMF, in 1963 and in 1964, in order to keep open this channel for the absorption of dollars. The first, for $ 500 million, against which $ 250 million was drawn, was replaced in July 1964 by a new stand-by also for $ 500 million of which $ 150 million had been drawn by the end of September. There was a small net gain in gold by the United States during the first half of 1964 of $ 27 million compared with losses of $ 461 million in 1963 and $ 890 million in 1962.

Prospects and Policies

The deficit on regular transactions may rise somewhat on a seasonally adjusted basis in the second half of 1964; since seasonal factors are less favourable in the second half year the actual deficit to be financed will certainly be considerably larger than in the first half. The trade surplus, seasonally adjusted, may decline. Exports (including goods and services financed by government grants and capital outflows) are not likely to rise much; some further increase in non-agricultural exports may well be offset by a decline in agricultural exports, which were particularly high in the first half of the year. Imports should rise in line with GNP. Net investment income, at an exceptionally high level in the first half of the year, is unlikely to increase in the second half, and net payments on other services will probably not change much. The surplus on the balance of goods and services is therefore likely to decline in the second half of 1964.

Government expenditure abroad should show some further decline, although the scope for further cuts after the end of 1964 is becoming smaller. The capital outflow may well remain high. Direct investment may be slightly higher in the second half of the year than in the first, largely because of certain purchases of existing foreign enterprises, mainly in Europe. The volume of new foreign issues in New York may rise now that the IET has become law, and the return flow of funds resulting from net sales of foreign outstanding securities may decline. But the outflow of portfolio capital rose already in the first half of this year, and the further increase should not be very substantial. Moreover, the fact that the IET will expire at the end of 1965 unless the Administration asks for a prolongation, may incite some prospective borrowers to hold off the United States

TABLE 11. FINANCING THE BALANCE OF PAYMENTS DEFICIT ON REGULAR TRANSACTIONS

$ million.

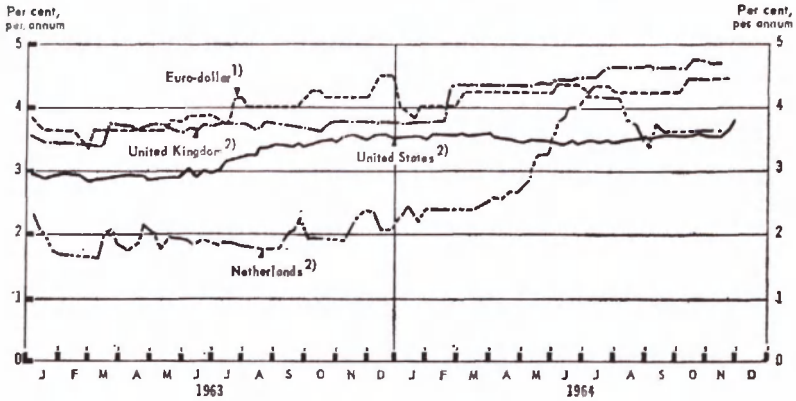
	1962 ANNUAL RATE	1963				1964	
		I	II	III	IV	I	II
		Quarterly rates					
I. Deficit on regular transactions:							
a) Seasonally adjusted	− 3,605	− 1,170	− 1,314	− 379	− 398	− 233	− 682
b) Not seasonally adjusted	− 3,605	− 813	− 1,212	− 820	− 416	69	− 573
II. Special government transactions	1,402	458	171	401	289	148	71
of which:							
— Non-scheduled receipts on Government loans	681	25	34	241	26	52	33
— Advances on military exports	470	20	− 5	80	239	151	− 76
— Sales of non-marketable U.S. government securities	251	413	142	80	24	− 55	114
III. Change in short-term official and private liquid liabilities (− = increase):							
— Private	213	397	144	47	6	233	114
— Official	457	− 74	773	145	126	− 399	85
IV. Change in U.S. monetary reserve assets (+ = decrease)	1,533	32	124	227	− 5	− 51	303

market for the time being. It is uncertain whether the outflow of funds reported by United States banks and non-banks will show sustained decline. However, preliminary data for the third quarter of 1964 indicates a substantial decline. In these circumstances, the decline in the surplus on goods and services may not be offset by improvements on government and United States private capital accounts, and the deficit on regular transactions may rise in the second half of 1964, and total some $ 2 billion for the year as a whole.

It is clearly difficult to speak with any precision about the development of the balance-of-payments beyond the present year. But it is likely that a further substantial decline in the deficit on regular transactions will depend mainly on the movement of the trade balance and the capital account; net investment income should continue to grow, but this may be partly offset by a further increase in net payments on other services, and remittances and pensions; a good part of the scheduled reductions in military expenditures will not be fully effective until 1965, but any fresh reductions thereafter may be difficult to achieve.

It is likely that the very strong improvement in the last years in the competitive position of United States industry as far as labour costs are concerned has contributed to the considerable increase in the trade surplus,

Diagram 6. SHORT-TERM INTEREST RATE TRENDS IN THE U.S. AND WESTERN EUROPE



1. 3-month deposit rate, London.
2. 3-month Treasury Bill rate.

Source: OECD Secretariat.

notably on the export side; the share of the United States in world exports, which fell substantially during the second half of the 1950's, has remained stable since 1961. With continued stability in unit labour costs, a further strong increase in exports can be expected, given continued expansion abroad. To a large extent, however, the rise in exports will be offset by a further increase in imports, since imports tend to rise in line with GNP. A further rise in the trade surplus would seem probable, but it is likely that the restoration of external equilibrium within a reasonable period will require some decline in the capital outflow also.

A fast rate of growth and a fuller utilisation of resources in the United States should have some favourable repercussions on the capital account. Direct investment abroad may become less attractive relative to investment at home; profits in the United States have already risen sharply. Banks may be solicited more by United States borrowers and thus have less incentive to seek outlets abroad for their funds. But it is difficult to assess the strength of these tendencies. And while both bank and business liquidity has been gradually reduced, with domestic credit demands expanding in response to the continuing rise in business activity, the outflow through bank loans has shown no clear evidence of continuing decline. It is difficult to assess the speed with which developments in internal liquidity are likely to achieve a lasting reduction in the outflow of capital, considering as well the structural disparities between the credit market of the U.S. and those of other industrial countries that are reflected in a persistent tendency for funds to be more freely available in the highly developed U.S. market. It cannot be excluded that the capital outflow will remain high in the absence of measures to reduce it.

It is important that further progress should be made towards a reasonable balance in the United States external account. Although the United States authorities have stated their intention to eliminate entirely their balance-of-payments deficit a minimum early objective must be to ensure that the deficit is reduced to amounts which can be financed by increases in private foreign dollar holdings as the need for trading balances grows. Despite some favourable trends in a number of items of the balance-of-payments, a reduction in the outflow of United States capital may be necessary to achieve this objective. To some extent the strong increase in bank lending to foreigners over the last year may have been non-recurring and some fraction may have substituted directly or indirectly for the raising of longer-term funds in the United States capital market. The President has been authorised by Congress to apply the provisions of the IET to bank credits of more than a year's duration. This authority provides an important safeguard against excessive outflows of bank credit.

It may be, however, that a sufficient and lasting reduction in the capital outflow will require some additional action. A minimum requirement would seem to be maintenance of short-term money market rates at levels relative to those in other leading money markets that avoid sizeable outflows of interest-sensitive liquid capital. The contribution that monetary policy could make towards reducing other types of capital outflow — long- or short-term — is less certain, and the possibilities of affecting internal demand unfavourably, notably for residential construction, must be considered. However, the authorities will have to remain alert to a possible need for using general instruments of monetary policy to supplement other forces impinging upon capital outflows. Should such a need arise the measures taken would have to be related of course to the authorities' readiness and ability to use fiscal measures, as necessary, to maintain domestic expansion. From the point of view of international payments equilibrium, it is important that other Member countries with strong or expanding reserve positions, should endeavour to avoid nullifying any such move by tightening their own monetary policies.

IV. CONCLUSIONS

The main policy conclusions of this survey can be summarised as follows:

a) Current expansion of activity has lasted longer than any earlier post-war upturns, chiefly because of better demand management policies. Throughout the expansion prices and costs have remained very stable. The expansion has accelerated over the last year, influenced by the tax cut adopted in February 1964. Unemployment has been reduced, and capacity utilisation rates in industry have increased, though the economy is still some way from full

employment levels. Concurrently with achieving faster growth a substantial reduction has been made in the balance-of-payments deficit. But in this area, as well, further progress is still necessary.

b) The expansion should continue into 1965, but the possibility of a slow down as the impact of the tax cut wears off must be considered. Maintenance of the existing rate of growth in 1965 may therefore require action through fiscal or budgetary means to stimulate demand.

c) Demand management would be facilitated in future if the instruments of fiscal and budget policy were more flexible than at present. It would be desirable for the U.S. authorities actively to explore possibilities in this area so that prompt action can be taken if need be to keep the economy on an even keel.

d) Although the maintenance of a steady and rapid rate of growth of overall demand will be indispensable if unemployment is to be reduced to an acceptable level, there is need for the vigorous pursuit of the programmes already begun to deal with the structural aspects of unemployment.

e) Maintenance of reasonably stable unit labour costs and prices is a key element in United States policy to improve the balance-of-payments. It has already helped to increase significantly the trade surplus. A further improvement of the trade balance can be hoped for, but it is uncertain whether this will be sufficient to achieve the desirable reduction of the balance-of-payments deficit in the near future.

f) A minimum early objective must be to ensure that the deficit is reduced to amounts which can be financed by increases in foreign private dollar holdings as the need for trading balances grows. This may require some decline in the large outflow of United States capital. Fast expansion and growing domestic credit needs should have a favourable impact on the capital account. The application of the IET to bank credits of more than one year's duration could also help to restrain further outflows, although U.S. authorities have not indicated that in their judgment exercise of that authority has been justified. But it cannot be excluded that there may be need for some further tightening of monetary conditions. It is important that other Member countries should endeavour to avoid nullifying any such move by tightening their own monetary policies.

STATISTICAL ANNEX

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Table I. NATIONAL PRODUCT AND EXPENDITURE IN CONSTANT (1954) PRICES

	PERSONAL CONSUMPTION EXPENDITURES	GROSS PRIVATE DOMESTIC INVESTMENT	NEW CONSTRUCTION	PRODUCERS' DURABLE EQUIPMENT	NET CHANGES IN BUSINESS INVENTORIES	NET EXPORTS OF GOODS AND SERVICES	GOVERNMENT PURCHASES OF GOODS AND SERVICES	OF WHICH:		GROSS NATIONAL PRODUCT
								FEDERAL	STATE AND LOCAL	
	1	2	3	4	5	6	7	8	9	10
1951	218.5	57.7	26.0	22.0	9.7	2.2	63.3	39.3	24.1	341.8
1952	224.2	50.4	26.0	21.8	2.6	1.2	77.7	53.3	24.5	353.5
1953	235.1	50.6	27.6	22.5	0.5	− 0.9	84.3	58.8	25.5	369.0
1954	238.0	48.9	29.7	20.8	− 1.6	1.0	75.3	47.5	27.7	363.1
1955	256.0	62.5	33.9	22.5	6.1	0.9	73.2	43.5	29.7	392.7
1956	264.3	61.7	32.3	25.0	4.5	2.5	72.3	41.7	30.6	400.9
1957	271.2	58.1	31.8	24.6	1.6	3.8	75.5	43.2	32.2	408.6
1958	273.2	49.0	31.1	19.4	− 1.5	− 0.2	79.3	44.5	34.8	401.3
1959	288.9	61.7	34.4	21.4	5.9	− 2.1	80.1	43.9	36.2	428.6
1960	298.1	60.2	34.4	22.7	3.1	1.7	79.9	42.3	37.6	439.9
1961	303.8	57.4	34.3	21.4	1.7	2.5	84.3	44.8	39.4	447.9
1962	318.5	65.9	36.7	24.0	5.2	2.2	89.8	49.4	40.3	476.4
1963	330.6	67.7	37.9	25.6	4.1	2.2	92.1	49.7	42.4	492.6
1961[1] 1st quarter	298.1	50.5	33.3	20.5	− 3.3	3.7	81.8	43.1	38.6	434.2
1961[1] 2nd quarter	301.8	56.9	34.3	20.6	2.0	2.1	83.6	44.7	38.9	444.4
1961[1] 3rd quarter	305.1	59.4	34.6	21.6	3.2	2.0	84.0	44.6	39.4	450.6
1961[1] 4th quarter	310.0	62.7	35.2	22.7	4.8	2.1	87.7	47.0	40.7	462.5
1962[1] 1st quarter	314.2	64.8	35.5	23.2	6.1	1.3	88.8	48.4	40.4	469.1
1962[1] 2nd quarter	316.6	65.8	36.6	23.8	5.4	2.8	89.9	50.2	39.8	475.1
1962[1] 3rd quarter	319.8	66.3	37.5	24.4	4.4	2.8	89.4	49.2	40.2	478.3
1962[1] 4th quarter	323.6	66.5	37.0	24.7	4.9	2.1	90.7	49.9	40.9	483.0
1963[1] 1st quarter	327.0	64.7	36.8	24.6	3.4	1.3	92.4	50.7	41.8	485.4
1963[1] 2nd quarter	328.6	66.2	37.5	25.4	3.3	2.1	91.0	49.4	41.7	487.9
1963[1] 3rd quarter	332.4	68.1	38.2	25.9	4,0	2.0	92.3	49.6	42.7	494.8
1963[1] 4th quarter	334.4	71.7	39.0	26.8	5.9	3.5	92.4	48.9	43.4	502.0
1964[1] 1st quarter	340.9	70.1	39.6	28.1	2.4	5.4	91.6	47.8	43.8	508.0
1964[1] 2nd quarter	345.0	70.8	39.2	28.3	3.3	3.4	94.3	49.8	44.5	513.5
1964[1] 3rd quarter	351.8	70.4	38.6	29.2	2.5	4.5	92.8	47.8	45.0	519.6

1. Seasonally adjusted quarterly totals at annual rates.

Source: Department of Commerce.

TABLE II. PRODUCTION, EMPLOYMENT

	UNIT OR BASE	1961
INDUSTRIAL PRODUCTION (seasonally adjusted indices):		
1. Total index[1]	1957-59 = 100	109.8
2. Manufacturing, total		109.7
3. Durable manufactures[2]		107.0
4. Primary metals		98.9
5. Fabricated metals		106.5
6. Transportation equipment		103.6
7. Non-durable manufactures[2]		112.9
8. Food and beverages		110.3
9. Textile-mill products		106.9
10. Petroleum products		108.7
11. Mining		102.6
MANPOWER:		
12. Civilian labour force, total	thousands	71,603
13. Employed	(monthly averages	66,796
14. Unemployed	seasonally adjusted)	4.806
Unemployment as per cent of civilian labour force (seasonally adjusted)	percentage	6.7
MANUFACTURERS' NEW ORDERS, NET (seasonally adjusted):		
16. Total	$ billions	31.06
17. Durable goods industries	(monthly averages)	15.66
18. Non-durable goods industries		15.40
MANUFACTURERS' UNFILLED ORDERS (seasonally adjusted):		
19. Total	$ billions	48.34
20. Durable goods industries	(end of period)	45.17
21. Non-durable goods industries	—	3.17
22. Manufacturers' Inventories (book value, seasonally adjusted)	$ billions (end of period)	55.09
MANUFACTURERS' SALES (seasonally adjusted):		
23. Total	$ billions	30.88
24. Durable goods industries	(monthly averages)	15.53
25. Non-durable goods industries		15.35
PERSONAL INCOME (quarterly totals seasonally adjusted at annual rates):		
26. Total	$ billions	417.6
27. Wage and salary disbursements		278.8
28. Other labour income		11.6
29. Proprietors' income		48.2
30. *of which:* Farm		12.9

1. This index includes utilities in addition to the major product groups shown separately.
2. These indices cover other products in addition to items 4-6 and 8-10.

Source: Department of Commerce, Department of Labour and Federal Reserve System.

AND OTHER BUSINESS INDICATORS

1962	1963	1963				1964		
		1st QTR.	2nd QTR.	3rd QTR.	4th QTR.	1st QTR.	2nd QTR.	3rd QTR.
118.3	124.3	120.2	124.3	125.4	126.3	128.3	131.1	133.6
118.7	124.7	120.8	124.9	125.8	127.1	129.2	132.0	134.4
117.9	124.4	120.2	125.3	125.3	126.6	129.0	132.5	135.3
104.6	113.1	105.6	124.4	113.3	109.4	117.4	125.7	132.2
117.1	123.4	118.7	122.9	125.2	126.5	128.8	130.1	134.2
118.3	127.0	122.3	126.2	127.2	130.5	130.7	134.0	133.5
119.8	125.1	121.5	124.5	126.4	127.9	129.4	131.4	133.2
113.5	116.4	115.3	115.8	116.7	117.7	120.6	120.1	120.3
115.2	117.1	113.4	116.3	118.5	119.9	119.2	119.3	123.4
112.9	117.1	114.7	117.0	118.0	118.0	118.6	121.6	121.9
105.0	107.8	104.4	108.4	110.4	107.7	108.8	110.9	111.9
71,854	72,975	72,430	72,938	73,095	73,321	73,754	74,506	74,235
67,846	68,809	68,247	68,751	69,029	69,165	69,735	70,567	70,471
4.007	4.166	4.183	4.187	4.067	4.157	4.019	3.939	3.764
5.6	5.7	5.8	5.8	5.5	5.7	5.5	5.3	5.1
33.17	35.04	34.91	35.21	35.04	35.31	36.78	37.95	38.28
17.09	18.30	18.49	18.49	18.19	18.24	19.50	20.14	20.17
16.08	16.74	16.42	16.72	16.85	17.07	17.28	17.81	18.11
46.78	49.80	49.35	50.05	49.98	49.80	50.70	52.83	54.45
44.09	46.68	46.68	47.29	47.07	46.68	47.81	50.04	51.61
2.69	3.12	2.67	2.77	2.91	3.12	2.89	2.80	2.85
57.75	60.15	58.13	58.71	59.09	60.15	60.33	60.40	60.73
33.31	34.77	33.97	34.79	35.02	35.41	36.38	37.05	37.47
17.18	18.07	17.52	18.08	18.28	18.45	19.02	19.17	19.43
16.12	16.70	16.45	16.70	16.74	16.97	17.36	17.88	18.04
442.4	464.1	455.2	460.2	466.3	474.5	480.9	487.9	494.5
297.1	312.1	305.3	310.1	314.3	318.8	323.2	328.7	334.3
12.3	13.1	12.8	13.0	13.2	13.4	13.7	14.0	14.2
49.8	50.6	50.3	50.1	50.7	51.5	51.2	51.7	52.1
13.2	13.0	13.2	12.8	12.9	13.2	12.6	12.6	12.6

Table III. PRICES AND WAGES

	Unit or Base	1962	1963	1963 1st Qtr.	1963 2nd Qtr.	1963 3rd Qtr.	1963 4th Qtr.	1964 1st Qtr.	1964 2nd Qtr.	1964 3rd Qtr.
1. Average hourly gross earnings in all manufacturing industries	dollars (monthly average)	2.39	2.46	2.43	2.45	2.45	2.49	2.51	2.53	2.54
2. Consumer price index (U.S. Department of Labor)	1957-1959 = 100 (monthly average)	105.4	106.7	106.1	106.3	107.1	107.4	107.7[1]	107.9	108.3
of which:										
3. Food	—	103.6	105.1	104.8	104.5	105.9	105.1	105.8	105.8	107.1
4. All items except food	—	106.1	107.4	106.6	107.1	107.6	108.3	108.5	108.7	108.9
5. Services	—	110.9	113.0	112.1	112.7	113.3	113.9	114.3	114.9	115.4
6. Wholesale price index	1957-1959 = 100 (monthly average)	100.6	100.3	100.2	100.0	100.4	100.5	100.6	100.1	100.5
of which:										
7. Farm products	—	97.7	95.7	96.8	94.9	96.2	94.9	95.3	93.8	94.4
8. Commodities other than farm products and foods	—	100.8	100.7	100.6	100.5	100.8	101.0	101.2	101.0	101.1

1. Beginning January 1964, a new series which has been linked to the old series.

Source: Department of Labor.

TABLE IV. FEDERAL GOVERNMENT RECEIPTS AND EXPENDITURES, INCOME AND PRODUCT ACCOUNT, 1959-1964

CALENDAR YEAR BASIS; QUARTERS SEASONALLY ADJUSTED AT ANNUAL RATES

$ billion.

	1959	1960	1961	1962	1963	1963 2nd QTR.	1963 3rd QTR.	1963 4th QTR.	1964 1st QTR.	1964 2nd QTR.	1964 3rd QTR.
Federal Government Receipts	90.3	96.6	98.3	106.4	113.6	112.9	114.2	117.2	114.8	112.3	114.0
— Personal tax and non-tax receipts	40.4	44.0	45.1	49.1	51.9	51.5	52.2	53.4	51.2	47.3	48.2
— Corporate profits tax accruals	22.0	21.0	20.9	21.8	23.0	23.0	23.0	24.4	23.9	24.4	24.4
— Indirect business tax and non-tax accruals	13.0	14.0	14.1	15.1	15.6	15.5	15.7	15.9	15.9	16.4	16.6
— Contributions for social insurance	14.9	17.6	18.2	20.5	23.0	22.9	23.2	23.5	23.9	24.2	24.7
Federal Government Expenditures	91.4	93.1	102.6	110.4	115.2	113.9	114.9	116.6	117.2	120.2	119.2
— Purchases of goods and services	53.6	53.1	57.4	62.9	64.7	64.3	64.4	64.9	64.3	67.1	65.5
— Transfer payments	22.2	23.8	27.4	28.3	29.9	29.5	29.6	30.3	31.1	30.7	30.8
— Grants-in-aid to State and local government	6.7	6.3	7.2	8.0	9.1	8.7	9.4	9.9	9.8	10.4	10.6
— Net interest paid	6.4	7.1	6.7	7.1	7.7	7.5	7.8	7.9	8.3	8.4	8.4
— Subsidies less current surplus of government enterprises	2.5	2.8	3.9	4.2	3.8	3.9	3.7	3.5	3.7	3.6	3.9
Surplus (+) or deficit (−) on income and product account	− 1.1	3.5	− 4.3	− 4.1	− 1.5	− 1.0	− 0.7	0.6	− 2.4	− 7.8	− 5.2

Source: Department of Commerce.

Table V. FOREIGN TRADE AND PAYMENTS

	Unit or Base	1961	1962	1963	1963 1st Qtr.	1963 2nd Qtr.	1963 3rd Qtr.	1963 4th Qtr.	1964 1st Qtr.	1964 2nd Qtr.	1964 3rd Qtr.
1. Total gold stock	$ billions (end of period)	16.95	16.06	15.60	15.95	15.83	15.63	15.60	15.55	15.62	15.64
2. Short-term claims on foreigners	—	4.82	5.16	5.94	5.12	5.53	5.46	5.94	6.34	6.88	
3. Short-term liabilities to foreign countries reported by banks in the United States	—	18.78	19.87	21.30	20.19	21.01	21.10	21.30	21.17	21.37	
4. Volume of imports	1953 = 100	138	156	163	151	163	167	171	162	169	
5. Volume of exports	—	120	124	133	120	140	131	147	146	151	
6. Average value of imports	—	98	96	97	96	96	97	98	99	100	
7. Average value of exports	—	110	110	109	110	109	108	108	110	109	
8. Terms of trade	—	112	115	112	115	114	111	110	111	109	

Source: Board of Governors of the Federal Reserve System, OECD General Statistics.

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